

INSURANCE AND PENSIONS COMMISSION



FIRST QUARTER REPORT
FOR
SELF ADMINISTERED PENSION FUNDS

FIRST QUARTER ENDED 31MARCH 2014

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2.0 Industry Overview

This report is based on 14 standalone funds, 3 fund administrators and 4 life assurers for the quarter under review.

Basing on the comparative statistics for last year, self administered funds reported contributions growth of 31% to close the quarter at \$260million (March 2013:\$199 million).However 79% or \$203 million in contributions were in arrears (March 2013:72% or \$144million).Various corrective measures are ongoing in consultation with fund administrators.

Fund administrators reported total received contributions amounting to \$58million (March 2013:55million) and administrative expenditure of \$21million reflecting a 36% expense ratio(March 2013:15% or \$14million).The Commission takes great exception to high expense ratios as they contribute to compromised benefits and fund values for members in a manner similar to negative investment returns .A ceiling of at most 10% expense ratio is considered prudent and offending administrators will be required to right size this critical aspect accordingly.

Total asset grew from \$1,6billion reported last year to \$1,9billion which was constituted as follows :- standalone funds (\$1,2billion or 62%),fund administrators (24% or \$443million) and insurer – administered funds(\$275million or 15%). The average prescribed asset ratio remained flat at 2% partly due to liquidity challenges and shortage of government paper in the market (See Table 2.2below).

2.2 Financial Summary for Self Administered Funds

Item	Standalone Funds			Insurer Administered			Fund Administrators			TOTALS		
	Mar 2013	Mar 2014	%	Mar 2013	Mar 2014	%	Mar 2013	Mar 2014	%	Mar 2013	Mar 2014	%
Arrear Contributions (\$000)	108,898	146,357	34%	12,167	30,603	152%	22,653	25,929	14%	143,718	202,889	41%
Total Contributions (Incl.Arrears)(\$000)	135,702	172,429	27%	21,940	43,599	99%	4,1282	44,438	8%	198,924	260,466	31%
Total Contributions (Excl. Arrears) (\$000)	26,804	26,072	(3%)	9,237	12,996	41%	18,629	18,509	(1%)	54,670	57,577	5%
Total Income (\$000)	43,808	41,402	(3%)	22,093	10,579	(52%)	27,837	59,302	113%	93,738	111,283	19%
Total Benefits	11,453	13,958	22%	3,610	5,393	49%	6,132	20,143	228%	21,195	39,494	86%
Total Expenses (\$000)	6,579	4,502	(32%)	1,342	1,816	35%	6,052	14,423	138%	13,973	20,741	48%
Net Income(\$000)	25,776	22,942	(11%)	17,141	3,370	(80%)	15,653	24,736	58%	58,570	51,048	(13%)
(Expense/Contributions)%	15%	17%	2%	15%	14%	(1%)	32%	78%	46%	15%	36%	21%
(Expense/Total Income)%	15%	11%	4%	6%	17%		22%	24%	2%	15%	19%	4%
Total Assets (\$000)	1,003,514	1,168,180	17%	224,056	274,508	23%	398,130	443,265	16%	1,625,700	1,885,953	16%
Prescribed Assets (\$000)	9,311	16,385	76%	4,040	4,613	14%	13,435	15,203	13%	26,786	36,201	35%
Prescribed Asset Ratio (%)	1	1	-	2%	2%	-	3%	3%	-	2	2%	-



SECTION A

STAND ALONE FUNDS

3.0 Standalone Self Administered Pension Funds

This report is based on 14 standalone funds (See Table 1, below). Funds which failed to submit their returns on time were fined in terms of the Act.

Table 1: Standalone Self Administered Pension Funds

Fund Name	Mar 2014
Catering Industry Pension Fund	1
Clothing Industry Pension Fund	1
Communication and Allied P/Fund	1
Construction Industry P/Fund	1
Local Authorities Pension Fund	1
Mining Industry Pension Fund	1
NRZ Pension Fund	1
ZB Financial Holdings P/Fund	1
Zimbabwe Electricity Industry Pension Fund	1
ZESA Staff Pension Fund	1
GMB Pension Fund	1
Motor Industry Pension Fund	1
Pentact Pension Scheme	1
ZMDC Pension Fund	1
Zimpapers Pension Fund	*
Zimbabwe Defence Industries P/F	*
Zimbabwe Amalgamated Railway Workers Union	*
TOTALS	14

*Returns not submitted

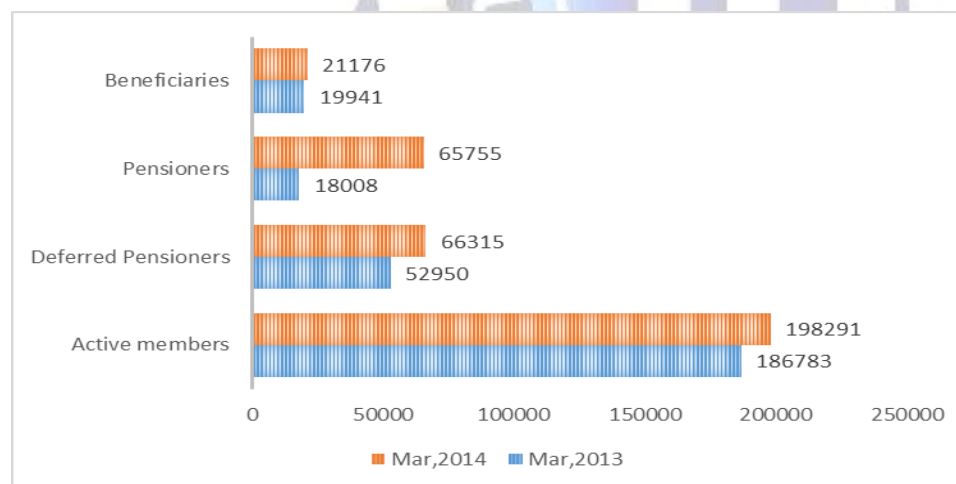
4.0 Pension Fund Membership

Total fund membership grew by 27% from the March 2013 statistics to close the period under review at 352 000. Active members contributed 198 000 or 56% (March 2013: 187 000 or 67%), deferred pensioners were 19% or 66 000 (March 2013: 19% or 53 000), pensioners 19% or 56 000 (March 2013: 6% or 18 000) whilst the balance of 21 000 or 6% was made up of beneficiaries (March 2013: 7% or 20 000) (See Table 2 and Figure 1, below).

Table2: Membership per Stand-alone Fund for the first quarter ended 31 March 2014

Fund Name	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth
Catering IPF	-	16952	-	*	717	-	*	46443	-	-	146	-	-	-	-	-	64,258	-
Clothing IPF	11265	12464	11%	457	10066	2103%	0	0	-	0	186	-	(208)	(246)	18%	11722	22716	94%
CAIPF	3578	3292	-8%	2334	4031	73%	926	1297	40%	2845	2901	2%	(78)	0	-100%	9683	11521	19%
CIPF	60750	53721	-12%	5529	5683	3%	52	101	94%	88	153	74%	(364)	0	-100%	66419	59658	-10%
LAPF	20075	20206	1%	-	0	-	4086	4190	3%	7607	7617	0%	(99)	-	-100%	31768	32013	1%
MIPF	29349	28889	-2%	41300	42415	3%	6797	7526	11%	1147	1252	9%	(793)	0	-100%	78593	80082	2%
NRZ	7129	6868	-4%	1811	1866	3%	5670	5562	-2%	7949	8524	7%	(156)	0	-100%	22559	22820	1%
ZB FHGPF	1019	985	-3%	822	843	3%	140	144	3%	186	175	-6%	(45)	8	-118%	2160	2147	-1%
ZESA PF	6,947	6923	0%	-	0	-	184	191	4%	90	96	7%	*	0	-	7,221	7210	0%
GMB	2071	2036	-2%	697	694	0%	17	21	24%	0	-	-	(2)	(6)	200%	2800	2751	-2%
Zimpapers	*	*	-	*	-	-	*	-	-	*	-	-	*	-	-	*	0	-
Motor Ind	44596	45767	3%	0	0	-	136	218	60%	29	47	62%	-	0	-	44761	46032	3%
Pentact P/F	4	4	0%	0	0	-	0	0	-	0	0	-	0	0	-	4	4	0%
ZMDC	*	184	-	*	0	-	-	62	-	-	79	-	-	0	-	-	325	-
Totals	186783	198291	6%	52950	66315	25%	18008	65755	265%	19941	21176	6%	-1745	(244)	-86%	277690	351537	27%

Figure 1: Membership for Stand-alone Funds for the first quarter ended 31 March 2014



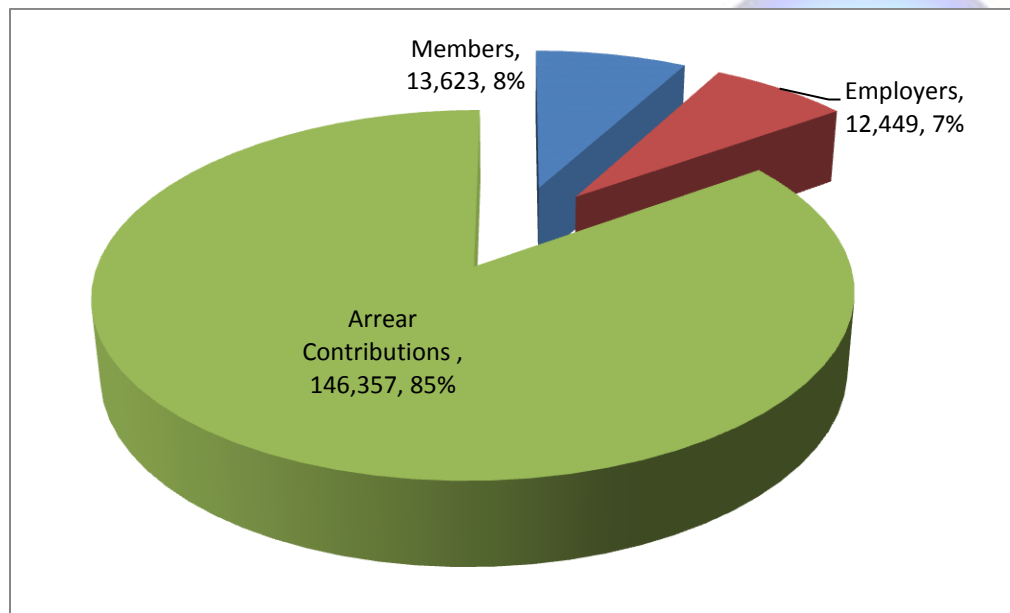
5.0 Contributions

Employer contributions amounted to \$12million or 7% of total contributions (March 2013:\$13million or 10%) whilst active members contributed \$14million or 8% of total contributions (March 2013: \$13million or 10%). However \$146million or 85% of total contributions were in arrears as employers are citing liquidity and cost challenges March 2013: \$109million or 80%). The Commission continues to monitor the situation in consultation with all key stakeholders (See Table 3and Figure 2,below).

Table 3: Contribution Statistics per Standalone Fund for the first quarter ended 31 March 2014

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth
Catering IPF	*	205	-	*	205	-	*	0	-	*	0	-	*	410	-
Clothing IPF	286	524	83%	400	400	0%	195	331	70%	967	927	-4%	1,848	2,182	18%
CAIPF	359	332	8%	1,076	1,076	0%	487	514	6%	4,920	9,059	84%	6,842	10,981	60%
CIPF	502	439	-13%	502	502	0%	-	0	-	349	266	-24%	1,353	1,207	-11%
LAPF	4,927	5,030	2%	1,703	1,703	0%	-		-	75,865	100,515	-	82,495	107,248	30%
MIPF	3,418	4,009	17%	3,419	3,419	0%	-	95	-!	2,722	648	-76%	9,559	8,171	-15%
NRZ	922	881	-4%	0	0	-	0	0	-	14,645	17,039	16%	15,567	17,920	15%
ZB FHGPF	207	204	-1%	306	306	0%	-	0	-	-	0	-	513	510	-1%
ZESA PF	1,675	1,681	0%	3,560	3,560	0%	2,000	3,405	70%	3,878	7,235	87%	11,113	15,881	43%
GMB	139	101	-27%	467	467	0%	-	101	-	615	2,577	319%	1,221	3,246	166%
Zimpapers	*	*	-		*	-		*	-		*	-		*	-
Motor Ind	539	172	-68%	809	809	0%	-	405	-	2,255	2,441	8%	3,603	3,827	6%
Pentact P/F	1	1	0%	1,147	2	-100%	0		-	-	-	-	1,588	3	-100%
ZMDC	-	44	-	-	-	-	-	0	-	-	799	-	-	843	-
Total	12,975	13,623	5%	13389	12,449	-7%	2682	4,851	81%	106,216	141,506	-61%	135,702	172,429	27%

Figure 2: Contributions Statistics per Stand-alone Fund for the first quarter ended 31 March 2014 (\$000)



6.0 Income and Expenditure

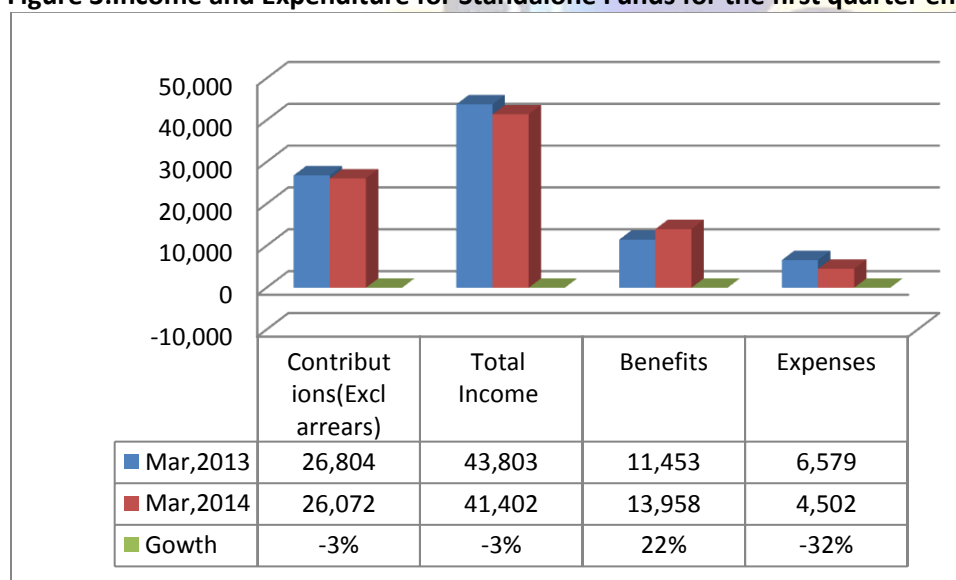
For the quarter ended 31 March 2014, total received contributions were \$26million, a -3% growth from the same quarter last year. Standalone funds realized \$41million as total income (March 2013: \$44million). For the same period the expense bill was \$5million from \$7million reported last year.

The industry reported a 17% expense to contribution rate (March 2013: 15%). The Commission has noted the players' efforts to reduce their expense ratios in line with our directives to restrict same at a maximum of 10%. High expense ratios contribute to low pension benefits and member values and as such the Commission will continue to monitor this aspect prominently as a critical performance indicator. (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Stand-alone Fund for the first quarter ended 31 March 2014 (\$'000)

Fund Name	Total Contributions(Excl arrears)			Total Income \$('000)			Total Paid Benefits \$('000)			Expenses \$('000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth
Catering IPF	*	410	-	-	643	-	-	181	-	-	315	-	-	77%	-	-	49%	-
Clothing IPF	686	924	35%	795	1,017	28%	178	152	-15%	223	239	7%	33%	19%	(14%)	28%	24%	(4%)
CAIPF	1,435	1408	-2%	6,418	6,054	-6%	1,731	2,293	32%	627	674	7%	44%	51%	(7%)	10%	11%	1%
CIPF	1,004	941	-6%	1,808	668	-63%	120	247	106%	503	493	-2%	50%	56%	6%	28%	74%	(46%)
LAPF	6,630	6733	2%	8,765	8,909	2%	3,408	2,867	-16%	458	482	5%	7%	7%	-	5%	5%	-
MIPF	6,837	7428	9%	9,246	10,437	13%	3,075	3,398	11%	3,315	852	-74%	48%	11%	(37%)	36%	8%	(28%)
NRZ	922	881	-4%	5,231	4,702	-10%	2,395	3,952	65%	397	584	47%	43%	66%	23%	8%	12%	4%
ZB FHGPF	513	510	-1%	863	837	-3%	146	85	-42%	26	101	288%	5%	20%	15%	3%	11%	(8%)
ZESA PF	5,235	5241	0%	5,653	5,810	3%	104	83	-20%	367	298	-19%	7%	6%	(1%)	6%	5%	(1%)
GMB	606	568	-6%	705	680	-4%	3	21	600%	142	158	11%	23%	30%	7%	20%	23%	3%
Zimpapers	*	0	-	*	-	-	*	-	-	*	-	-	*	-	-	*	*	-
Motor Ind	1,348	981	-27%	2,731	1,437	-47%	293	638	118%	311	299	-4%	23%	47%	24%	11%	21%	10%
Pentact P/F	1,588	3	-100%	1,588	5	(100%)	0	0	-	210	-	-	13%	-	-	13%	-	-
ZMDC	*	44	-	*	203	-	*	41	-	*	7	-	*	5%	-	*	3%	-
Totals	26,804	26,072	(3%)	43,803	41,402	(3%)	11,453	13,958	22%	6,579	4,502	(32%)	15%	17%	2%	15%	11%	(4%)

Figure 3: Income and Expenditure for Standalone Funds for the first quarter ended 31 March 2014(\$'000)



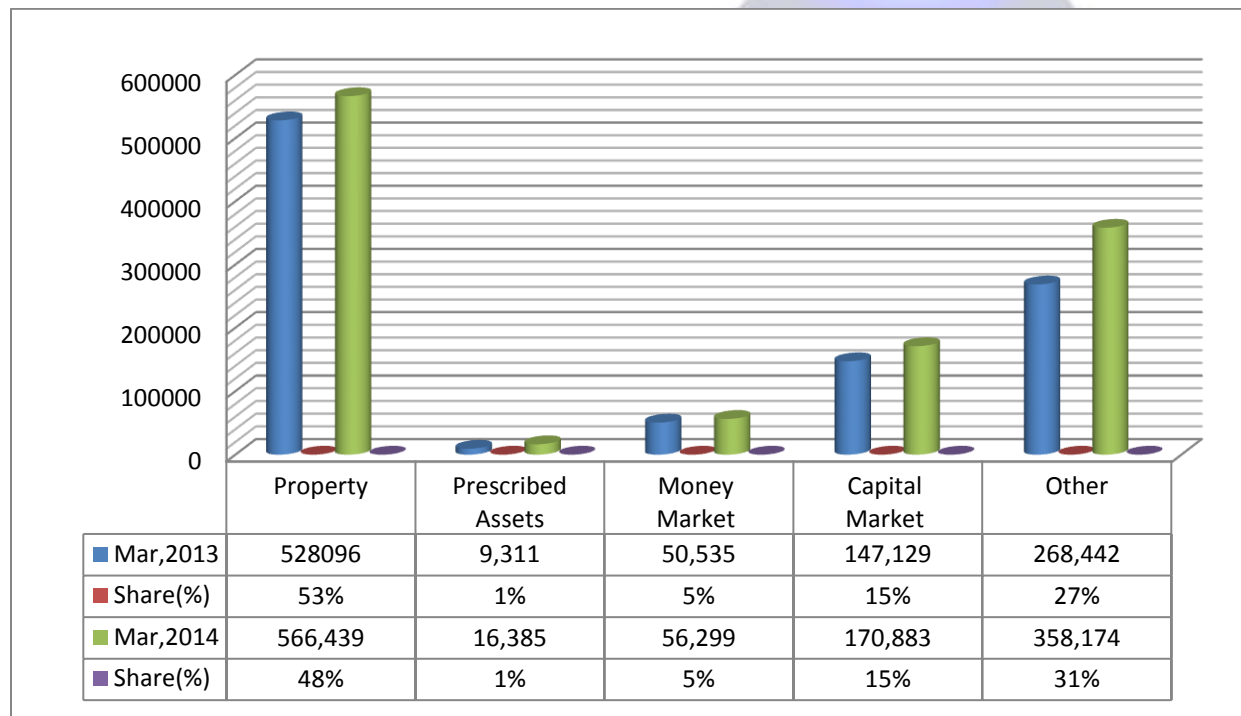
7.0 Fund Assets

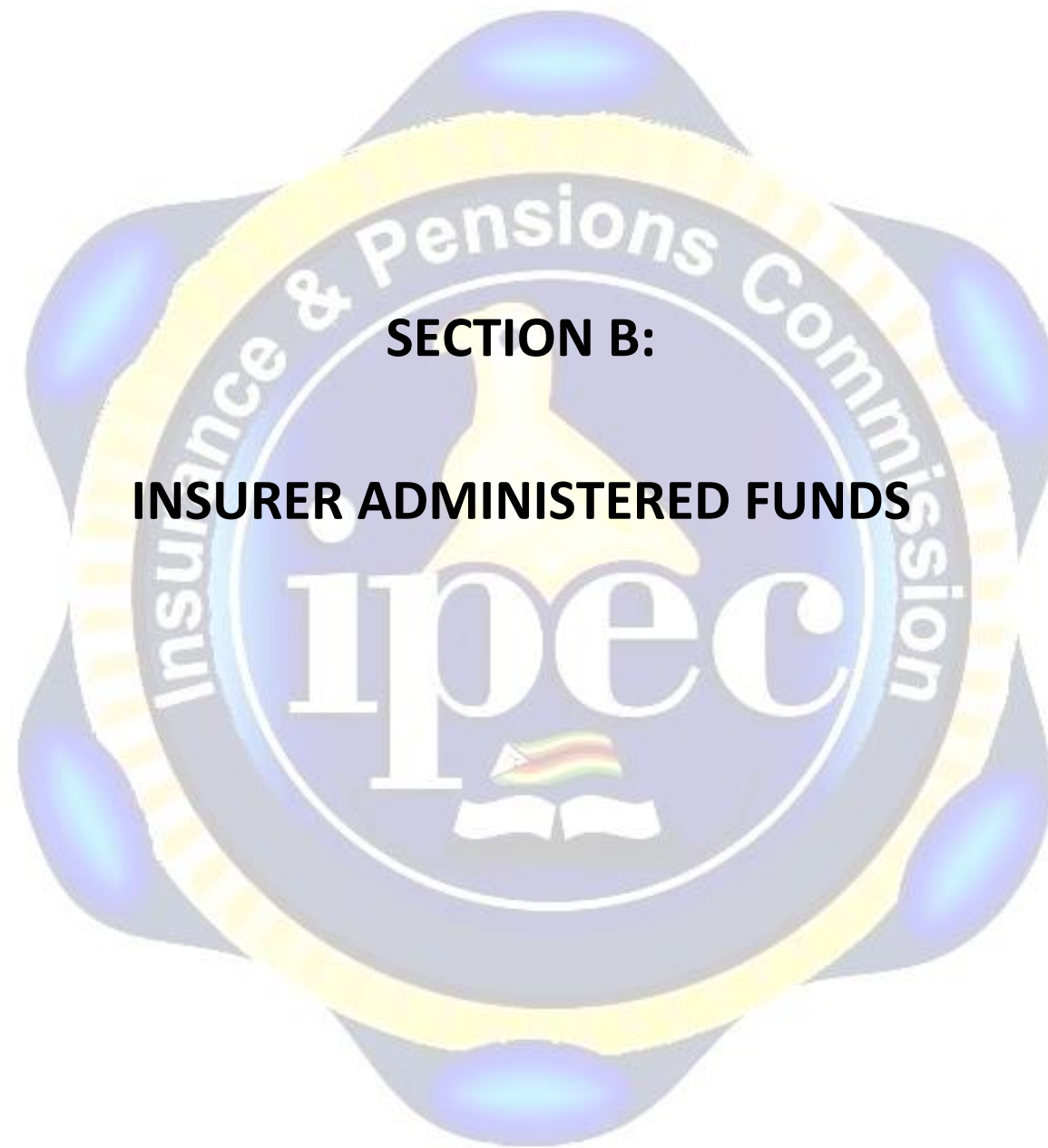
For the current reporting period, Standalone funds held assets in properties- 48% or \$566million(March 2013 :53% or \$53million}, equities-15% or \$171million(March 2013:15% or \$147million}, money market- 5% or \$56million (March 2013:5% or \$51million}, other assets -31% or \$358million(March 2013:27% or \$268million} and prescribed asset compliance continued to be flat at 1%.Players are required to abide by regulatory guidance in addition to actuarial advice as a critical prudential matter (See Table 5 and Figure 4, below).

Table 5: Fund Assets Market Value per Standalone Fund for the first quarter ended 31 March 2014

Fund Name	Immovable Property(\$000)			Prescribed Assets(\$000)			Money Market (\$000)			Capital Market Securities(\$000)			Other(\$000)			Total(\$000)		
	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth
Catering IPF	-	6,429	-	-	67	-	-	129	-	-	4,853	1	-	1,701	1	-	13,179	-
Clothing IPF	11,100	11,100	0%	100	250	150%	1,222	1,286	5%	3,818	4,208	10%	1,243	1,468	18%	17,483	18,312	5%
CAIPF	83,771	87,021	4%	2,250	5,833	159%	8,903	8,681	-2%	19,994	17,568	(12%)	23,367	28,255	21%	138,285	147,358	7%
CIPF	12,282	12,377	1%	102	69	(32%)	-	-	-	6,821	6,002	(12%)	1,582	4,109	160%	20,787	22,557	9%
LAPF	68,839	68,839	0%	-	-	-	-	-	-	29,505	35,794	21%	80,798	102,025	26%	179,142	206,658	15%
MIPF	100,422	102,096	2%	5,074	6,807	34%	9,589	5,879	(39%)	51,674	60,701	17%	4,426	1,457	-67%	171,185	176,940	3%
NRZ	228,415	235,546	3%	500	1,895	279%	19,899	14,879	(25%)	12,591	17,213	37%	123,745	177,221	43%	385,150	446,754	16%
ZB FHGPF	2,868	4,018	40%	-	160	-	-	7,550	-	6,419	6,519	2%	6,405	16	(100%)	15,692	18,263	16%
ZESA PF	11,138	21,950	97%	356	642	80%	9,960	9,960	0%	4,634	4,776	3%	22,928	31,704	38%	49,016	69,032	41%
GMB	4,532	10,095	123%	308	-	-	912	2	(100%)	178	16	(91%)	1,002	2,837	183%	6,932	12,950	87%
Zimpapers	*	-	-	*	*	-	*	*	-	*	*	-	*	*	-	*	*	-
Motor Ind	4,729	6,968	47%	621	662	7%	0	7,323	-	10,186	13,033	28%	2,721	3,377	24%	18,257	31,363	72%
Pentact P/F	0	-	-	0	-	-	0	-	-	7	7	0%	195	221	13%	202	228	13%
ZMDC	*	-	-	-	-	-	-	610	-	-	193	-	-	3,783	-	-	4,586	-
Totals	528096	566,439	7%	9,311	16,385	76%	50,535	56,299	12%	147,129	170,883	16%	268,442	358,174	32%	1,003,514	1,168,180	17%

Figure 4: Fund Asset Values for Standalone Funds for the first quarter ended 31 March 2014 \$(000)





SECTION B:

INSURER ADMINISTERED FUNDS

1.0 Insurer Self Administered Pension Funds

This report covers 32 funds administered by 4 assurers (See Table 1, below).

Table 1: Fund Administrators

Insurer	Mar 2014
First Mutual	5
Old Mutual	24
Alt fin	1
Zimnat	2
TOTALS	32

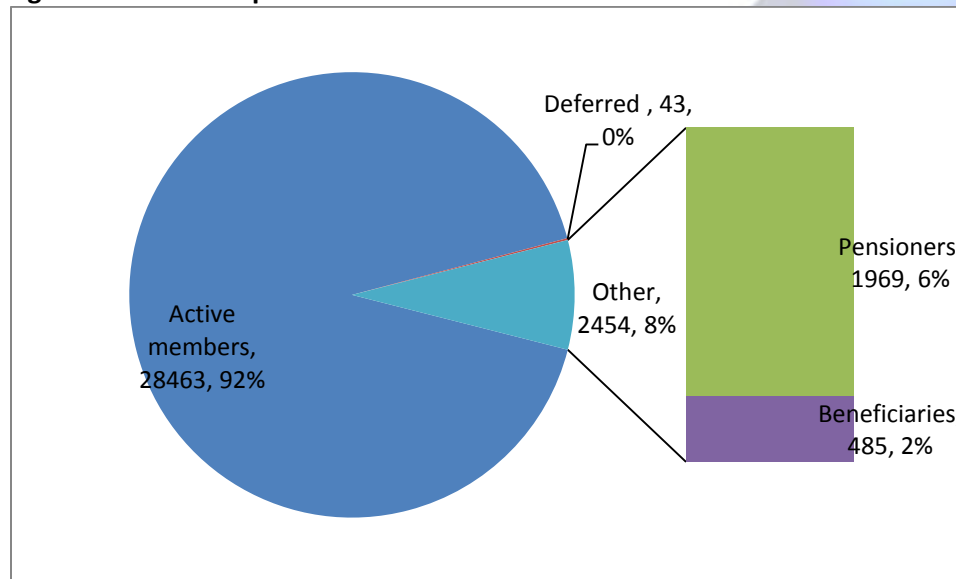
2.0 Pension Fund Membership

For the quarter ended 31 March 2014, total fund membership for insurer administered funds was 31 000, a 8% growth from 29 000 reported in the same quarter last year. The population in respect of active members was 28 000 or 92% of total membership (March 2013:91% or 26 000), pensioners -6 % or 2 000(March 2013:7% or 2 000) and beneficiaries and deferred pensioners making up the balance(See Table 2 and Figure 1, below).

Table2:Membership for Insured Self Administered Pension Funds for the first quarter ended 31 March2014

Insurer	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	
First Mutual	3841	5240	36%	-	-	-	20	0	-	24	24	-	(79)	(137)	73%	3885	5264	35%
Old Mutual	22333	22558	1%	52	43	(17)	1881	1872	-	461	461	-	(532)	(332)	(38%)	24727	24,934	1%
Altfin	-	430	-	-	-	-	-	-	-	-	-	-	-	(1)	-	-	430	-
Zimnat	-	235	-	-	-	-	-	97	-	-	-	-	-	-	-	-	332	-
Totals	26174	28463	9%	52	43	17	1901	1969	4%	485	485	-	(611)	(470)	(20%)	28612	30,960	8%

Figure 1: Membership Statistics for Insured Self Administered Funds for the first quarter ended 31 March 2014



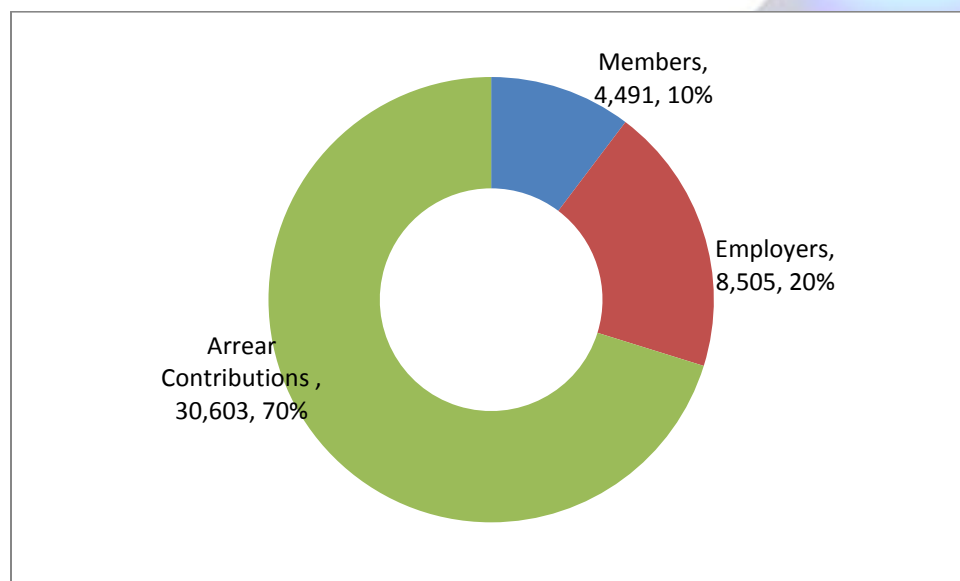
3.0 Contributions

For the current review period, employers contributed \$9million or 20% of the contribution receivables (March 2013:28% or \$6million) whilst employees paid \$4million or 10%. However contribution arrears grew by 151% to close at \$31million or 70% of total contributions (March 2013:55% or 12million). As reported earlier efforts are underway in order to rationalize this major challenge (See Table 3 and Figure 2 below).

Table 3: Contributions Statistics for Insured Self Administered Funds for the first quarter ended 31 March 2014

Insurer	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers			Mar 2013	Mar 2014	Growth
	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth			
First Mutual	471	1,745	270%	684	2,495	265%	-	-	-	5047	22,185	340%	6201	26,425	326%
Old Mutual	2,698	2,623	-3%	5,384	5,837	8%	-	-	-	7120	8,316	17%	15,739	16,776	7%
Altfin	-	51	-	-	57	-	-	27	-	-	46	-	-	181	-
Zimnat	-	72	-	-	116	-	-	-	-	-	29	-	-	217	-
Totals	3,169	4,491	42%	6,068	8,505	40%	-	27	-	12,167	30,576	151%	21,940	43,599	99%

Figure 2: Contribution Statistics for Insured Self Administered Funds for the first quarter ended 31 March 2014 \$(000)



3.0 Income and Expenditure

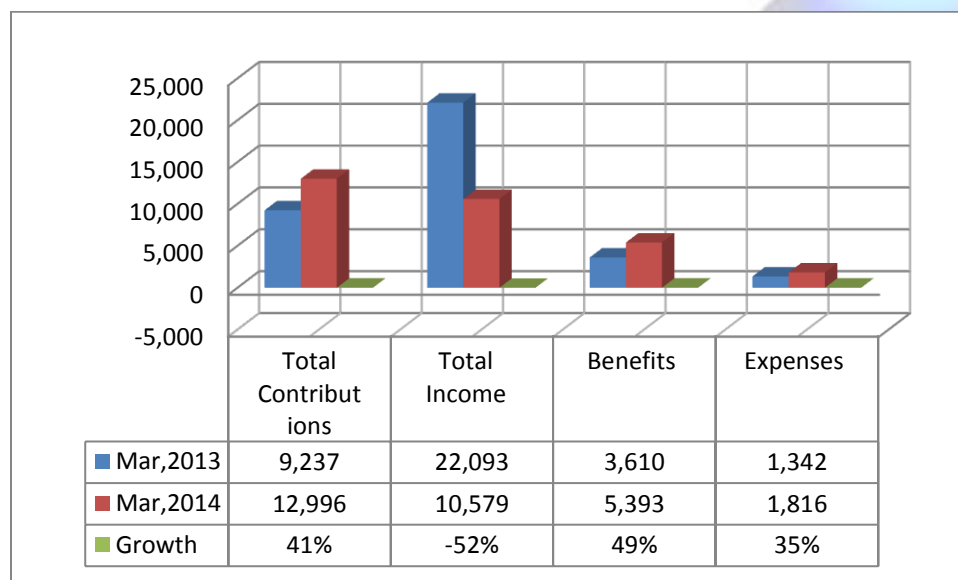
As at the close of this quarter, insurers reported total income of \$11million(March 2013:\$22million).The expense to total income ratio deteriorated from 6% last year to 17% because 2 players submitting their returns for the first time .

The benefits paid were \$5 million, a 49% growth from the same period last year .Against depressed investment markets, the expenses bill at \$2million grew at almost similar rates to contributions and benefits. The Commission continues to monitor expense ratios as they inversely affect benefits and member values (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Insurer for Self Administered Funds for the first quarter ended 31 March 2014

Insurer	Total Contributions(Excl arrears)\$ (000)			Total Income \$ (000)			Total Paid Benefits \$ (000)			Expenses \$ (000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth
First Mutual	1,155	4,240	267%	2,605	5,757	121%	171	1,620	847%	170	340	100%	15%	8%	(7%)	7%	6%	(1%)
Old Mutual	8,082	8,460	5%	19,488	4,365	(78%)	3,439	3,671	7%	1,172	1,381	18%	15%	16%	1%	6%	32%	(26%)
Altfin	-	108	-	-	37	-	-	3	-	-	55	-	-	51%	-	-	149%	-
Zimnat	-	188	-	-	420	-	-	99	-	-	40	-	-	21%	-	-	10%	-
Totals	9,237	12,996	41%	22,093	10,579	(52%)	3,610	5,393	49%	1,342	1,816	35%	15%	14%	(1%)	6%	17%	11%

Figure 3: Income and Expenditure for Insured Self Administered Funds for the first quarter ended 31 March 2013 (\$'000)



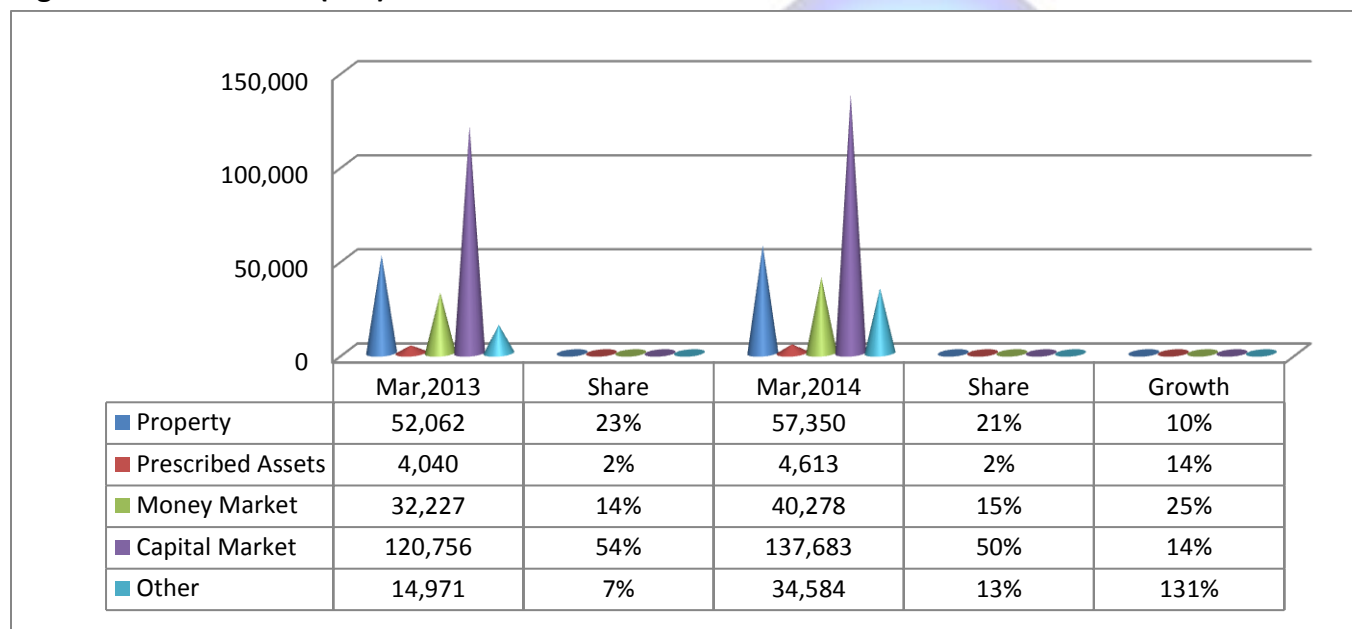
4.0 Fund Assets

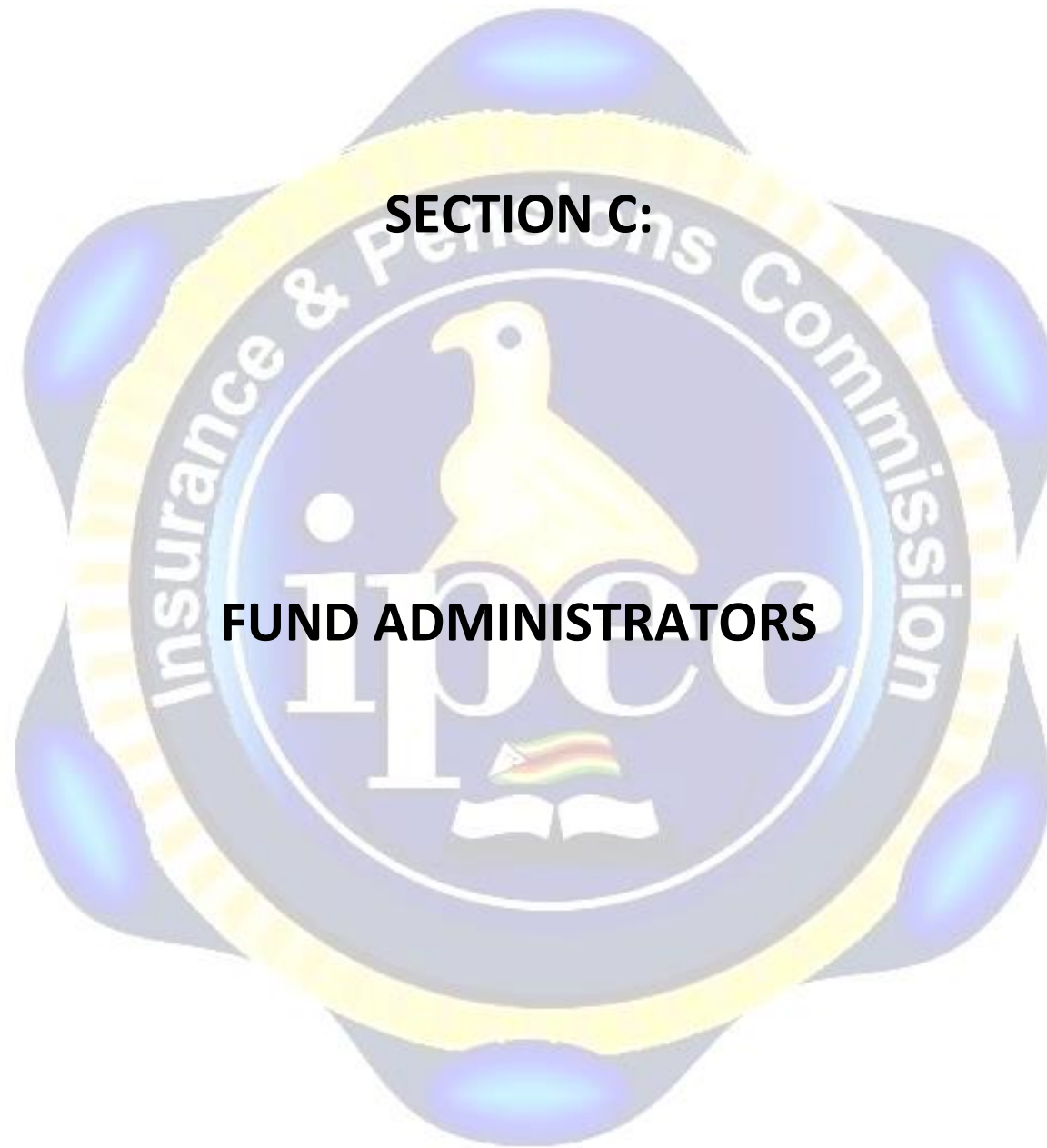
For the current reporting period, investments in properties were 21% or \$57million(March 2013 :23% or \$52million}, equities-50% or \$138million(March 2013:54% or \$121million}, money market- 15% or \$40million (March 2013:14% or \$32million}, other assets -13% or \$35million(March 2013:7% or \$15million} and prescribed asset subscription continued to be level at 2% reported last year. (See Table 5 and Figure 4, below).

Table 5: Fund Asset Statistics at Market Value for Insured Self Administered Funds for the first quarter ended 31 March 2014

Fund Name	Immovable Property\$('000)			Prescribed Assets\$('000)			Money Market Securities\$('000)			Capital Market Securities\$('000)			Other\$('000)			Total\$('000)		
	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth
First Mutual	1,096	3,907	256%	506	293	(42%)	131	62	(53%)	12,211	19,848	63%	6,152	23,682	285%	20,097	47,792	138%
Old Mutual	50,966	53,177	4%	3,533	4,179	18%	32,096	38,396	20%	108,545	115,132	6%	8,819	8,906	1%	203,959	219,790	8%
Altfin	-	-	-	*	40	-	*	702	-	*	823	-	*	62	-	*	1,627	-
Zimnat	-	266	-	*	101	-	*	1,118	-	*	1,880	-	*	1,934	-	*	5,299	-
Totals	52,062	57,350	10%	4,040	4,613	14%	32,227	40,278	25%	120,756	137,683	14%	14,971	34,584	131%	224,056	274,508	23%

Figure 4: Fund Assets \$(000)





SECTION C:

FUND ADMINISTRATORS

1.0 Fund Administrators

This report is based on 130 funds in the portfolios of Minerva ,Marsh and Cormaton Fund administrators (See Table 1, below).

Table 1: Fund Administrators

Fund Administrator	Mar 2014
Minerva	57
Comarton Consultants	28
Marsh	45
TOTALS	130

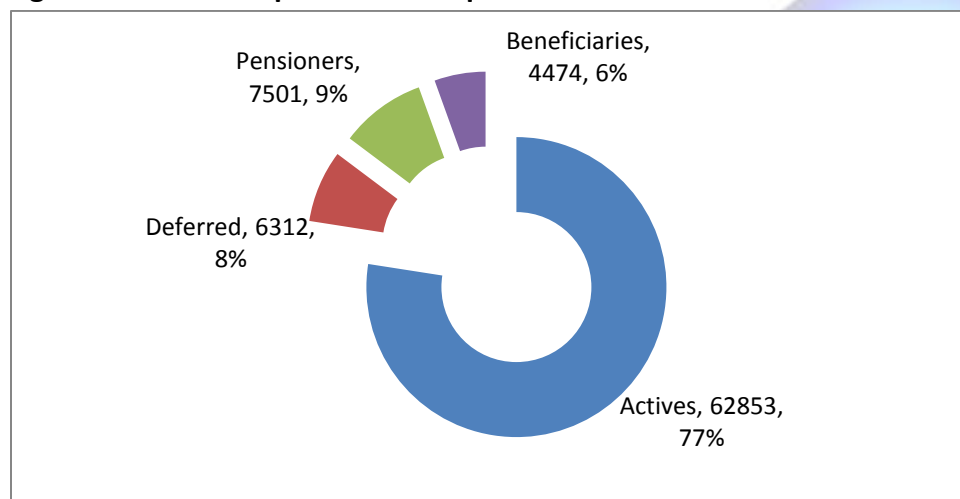
2.0 Pension Fund Membership

For the quarter ended 31 March 2014, total fund membership for fund administrators was 81 000(March 2013:74 000). The population for active members was 63 000 or 77% of total membership (March 2013:75% or 55 000), pensioners -9% or 8 000(March 2013:12% or 9 000), deferred pensioners-8% or 6 000(March 2013:7% or 5 000) and beneficiaries making up the balance of 6% or 4 000(March 2013:7% or 5 000) (See Table 2 and Figure 1, below)

Table2: Membership for Self Administered Funds for the first quarter ended 31March 2014

Administrator	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth
Minerva	22101	31154	41%	684	1174	72%	3437	1834	47%	1515	1017	(33%)	(426)	(439)	3%	27737	35179	27%
Comarton	16517	15553	(6%)	68	503	640%	1984	2133	8%	1635	1710	5%	(278)	(296)	6%	20204	19899	-2%
Marsh	16432	16146	(2%)	4224	4635	10%	3165	3534	12%	1798	1747	(3%)	(157)	(325)	107%	25619	26062	2%
Totals	55050	62853	14%	4976	6312	27%	8586	7501	(13%)	4948	4474	(10%)	(861)	(1060)	23%	73560	81140	10%

Figure 1: Membership for the first quarter ended 31 March 2014



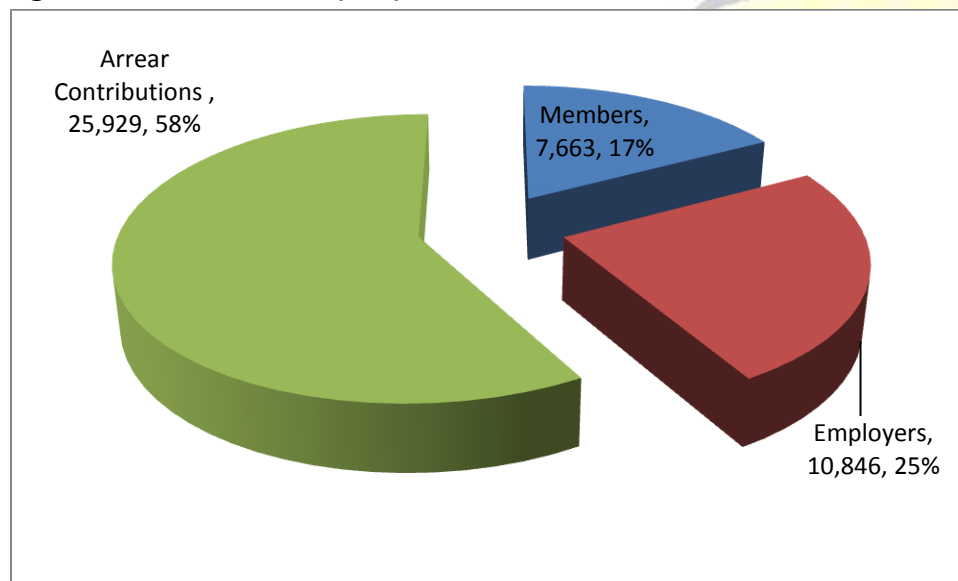
3.0 Contributions

For the current reporting period, employers contributed \$11million or 25% of the total contributions (March 2013:29% or \$12million) whilst employees paid \$8million or 17%(March 2013:16% or \$7million). However the balance of 58% or \$26 million were in contribution arrears(March 2013:55% or 23million). As reported earlier mutual efforts are underway in order en sure that employers make good their arrears (See Table 3 and Figure 2below).

Table 3: Contributions Statistics for Self Administered Funds for the first quarter ended 31 March 2014

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers			Mar 2013	Mar 2014	Growth
	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth			
Minerva	3,157	2,849	-10%	6,825	5,794	(15%)	1,642	1,423	-13%	2,899	3,867	33%	14,523	13,933	(4%)
Comarton	375	535	43%	881	1,609	83%	505	915	81%	10,760	11,519	7%	12,521	14,578	16%
Marsh	3,113	4,279	37%	4,278	3,443	(20%)	0	0	-	6,847	8,205	20%	14,238	15,927	12%
Total	6,645	7,663	15%	11,984	10,846	(9%)	2,147	2,338	9%	20,506	23,591	15%	41,282	44,438	8%

Figure 2: Contributions \$(000)



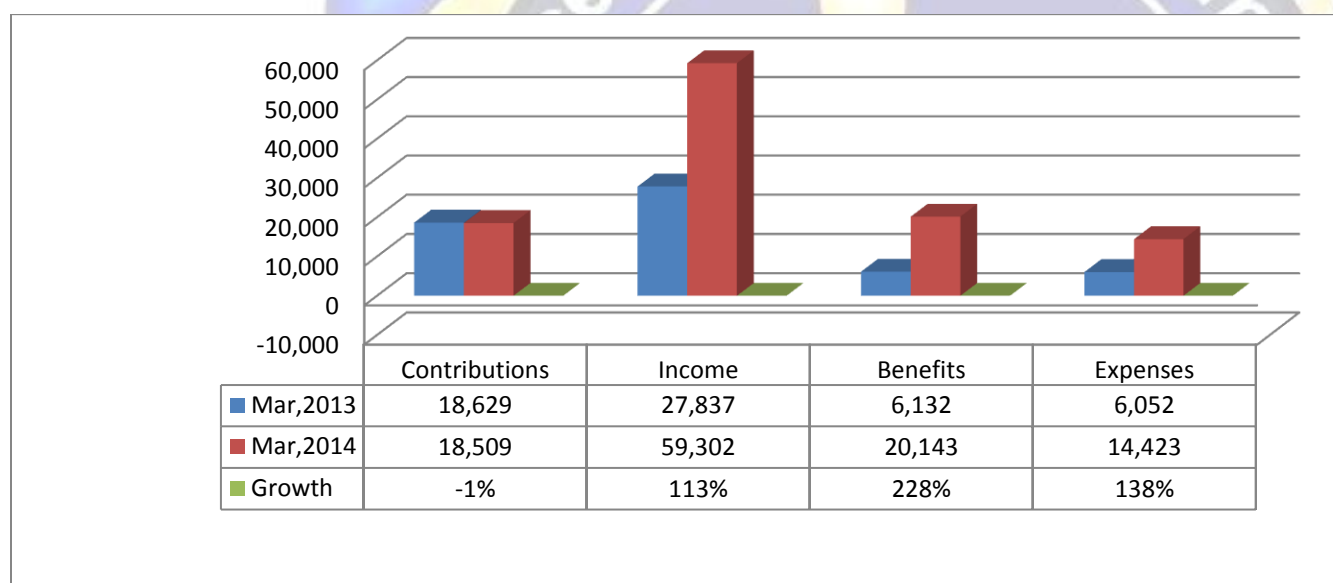
4.0 Income and Expenditure

As at the close of this quarter, fund administrators reported total income of \$59million(March 2013:\$28million). The expenses bill at \$14million, more than doubled from the figure reported previously and at a growth rate which is much higher than revenue inflows. The Commission shall continue to engage with administrators to justify fully such astronomical growth in their expenditures other than benefits. The expense to total income ratio rose from 22% last year to 24% (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure for Self Administered Funds for the first quarter ended 31March2014

Fund Name	Total Contributions(Excl arrears) \$(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth
Minerva	9,982	8,643	-13%	15,186	42,240	178%	3,186	13,390	320%	2,369	9,192	288%	24%	106%	82%	16%	22%	6%
Comarton	1,256	2,144	71%	2,265	7,004	209%	780	2,019	159%	1,185	2,177	84%	94%	102%	8%	52%	31%	21%
Marsh	7,391	7,722	4%	10,386	10,058	-3%	2,166	4,734	119%	2,498	3,054	22%	34%	40%	6%	24%	30%	6%
Totals	18,629	18,509	-1%	27,837	59,302	113%	6,132	20,143	228%	6,052	14,423	138%	32%	78%	46%	22%	24%	2%

Figure 3: Income and Expenditure \$(000)



5.0 Fund Assets

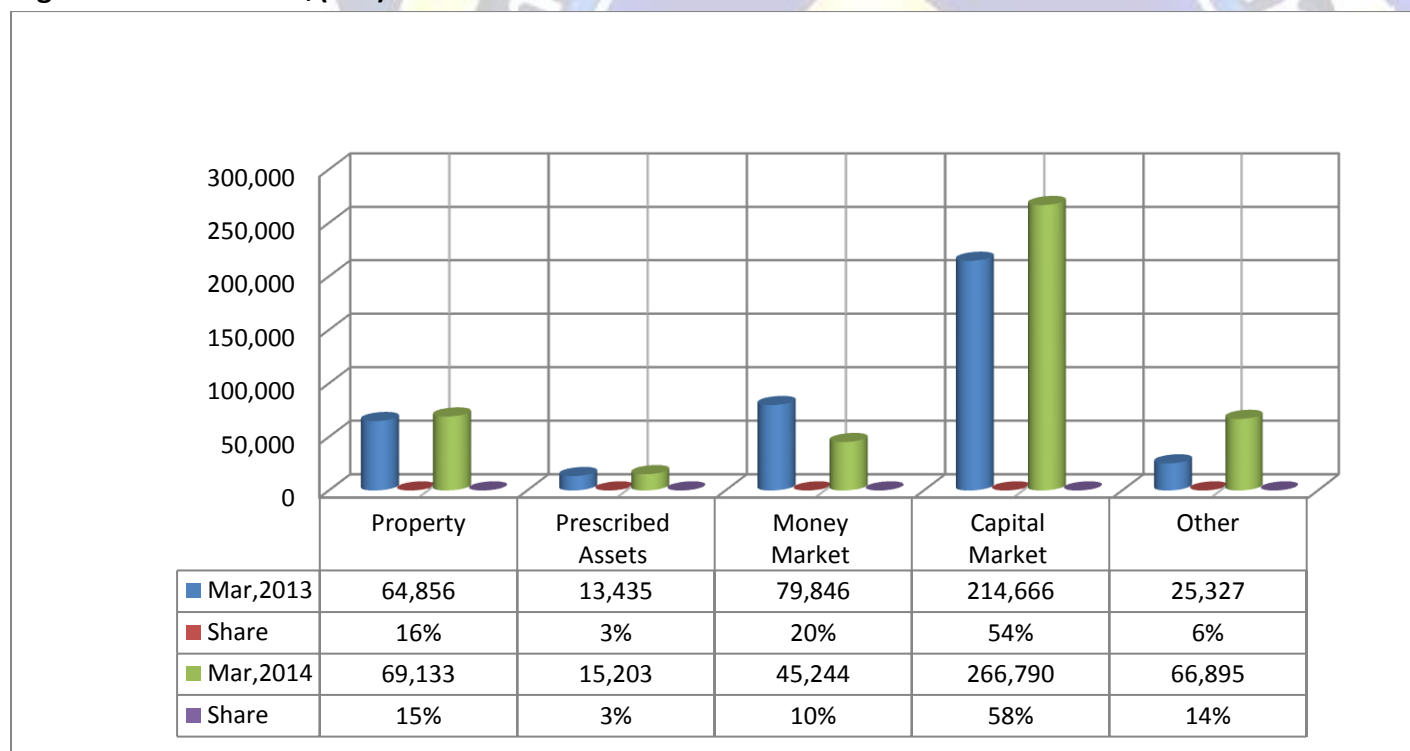
For the quarter ended 31 March 2014, fund administrators' investment assets were in properties- 15% or \$69million(March 2013 :16% or \$65million}, equities-58% or \$267million(March 2013:54% or \$215million}, money market- 10% or \$45million (March 2013:20% or \$80million},

other assets -14% or \$67million(March 2013:6% or \$25million} and prescribed asset subscription continued to be level at 3% reported in the comparative period last year. (See Table 5 and Figure 4, below).

Table 5: Fund Asset Statistics at Market Value for Self Administered Funds for the first quarter ended 31 March 2014

Admin.	Immovable Property \$(000)			Prescribed Assets \$(000)			Money Market Securities \$(000)			Capital Market Securities \$(000)			Other \$(000)			Total \$(000)		
	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth	Mar 2013	Mar 2014	Growth
Minerva	21,469	22,828	6%	8,070	8,902	10%	47,580	8,244	-83%	85,841	143,987	68%	9,569	49,499	417%	172,529	233,460	35%
Comarton	-	-	-	1,160	916	(21%)	12,814	15,819	23%	59,027	48,715	-17%	-	-		73,001	65,450	-10%
Marsh	43,387	46,305	7%	4,205	5,385	28%	19,452	21,181	9%	69,798	74,088	6%	15,758	17,396	10%	152,600	164,355	8%
Totals	64,856	69,133	7%	13,435	15,203	13%	79,846	45,244	-43%	214,666	266,790	24%	25,327	66,895	164%	398,130	463,265	16%

Figure 4: Fund Assets \$(000)



6.0 Legislation Amendments

As reported previously, the amendments to the Pension and Provident Funds Act Chapter 24:09 are ongoing and suggestions are still welcome from stakeholders.

Conclusion

The major challenges for pension fund business continue to be arrear contributions, high expense ratios and meager benefits and capital values to members. The Commission will continue to work with all key stakeholders to protect and promote member benefits and interest.

